

Value Degradation Condition Module (VDGCM)

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Canonical Definition

Value Degradation Condition Module (VDGCM) is the second Core Module of the Value Degradation Standard (VDGS) within VFM® — Value Flow Mechanisms Architecture.

VDGCM governs the identification, definition, classification, and contextualization of the condition under which identified Value Degradation exists.

The Module establishes the governed degradation condition affecting existing positive value after degradation has been identified by VDGIM — Value Degradation Identification Module and before the magnitude of that degradation is determined by VDGMM — Value Degradation Magnitude Module.

VDGCM distinguishes the existence of degradation from the condition characterizing that degradation.

Its foundational task is:

to determine the governed condition of identified Value Degradation before its magnitude, progression, and lifecycle record are established.

Architectural Position

VDGCM is the second module within VDGS.

It follows:

VDGIM — Value Degradation Identification Module

and precedes:

VDGMM — Value Degradation Magnitude Module.

VDGIM establishes:

whether Value Degradation exists.

VDGCM establishes:

what condition characterizes that degradation.

VDGMM subsequently establishes:

how materially value has degraded.

The sequence is therefore:

Identification → Condition → Magnitude.

VFM® Governance Flow Position

Value Context → Value Origin → Value Emergence → Value Recognition → Value State → Value Change → Value Development → Value Degradation → subsequent VFM® lifecycle spaces

VDGCM operates within the Value Degradation governed space after legitimate degradation entry has already been established.

It does not determine whether degradation exists from the beginning.

It receives that determination from VDGIM and asks:

What is the actual governed condition of the degrading value?

Internal Module Flow

Identified Value Degradation → Degradation Context Definition → Affected Value Dimension Confirmation → Degradation Condition Identification → Condition Characteristic Assessment → Condition Persistence Assessment → Condition Reversibility Assessment → Condition Interaction Assessment → Condition Classification → Value Degradation Condition State → VDGMM — Value Degradation Magnitude Module

The internal logic is:

Degradation exists → where is it occurring? → under what condition? → what characterizes that condition? → is it persistent, reversible, recurring, or compound? → what degradation condition should be governed?

Operational Space

VDGCM governs the condition layer of Value Degradation.

Its operational space includes:

degradation condition identification; degradation context; affected value dimension; condition characterization; physical degradation condition; functional degradation condition; operational degradation condition; economic degradation condition; technological degradation condition; informational degradation condition; knowledge degradation condition; strategic degradation condition; relational degradation condition; structural degradation condition; environmental degradation condition; temporal degradation condition; persistent degradation; intermittent degradation; recurring degradation; reversible degradation; partially reversible degradation; irreversible degradation; compound degradation; interacting degradation conditions; degradation condition state; degradation condition record.

Degradation Condition Principle

Once Value Degradation has been identified, the degradation must not remain represented merely as:

“Value is declining.”

That statement identifies direction but not condition.

VDGCM establishes the more governable question:

In what condition is value declining?

For example:

Operational Value Degradation

may arise under:

declining productive capability

while:

Technological Value Degradation

may arise under:

progressive obsolescence.

The condition gives structural meaning to the identified degradation.

Condition ≠ Cause

VDGCM distinguishes:

Degradation Condition

from:

Degradation Cause.

A degradation condition describes the governed state or circumstances in which value is deteriorating.

A cause explains why that condition arose.

For example:

Condition: declining mechanical reliability.

Possible Cause: component wear.

Or:

Condition: declining technological relevance.

Possible Cause: emergence of a superior technology.

VFM® may preserve a causal link where relevant, but VDGCM does not need to establish complete external causation in order to govern the degradation condition.

Therefore:

Condition ≠ Cause.

Condition ≠ Magnitude

The existence of a severe-sounding degradation condition does not itself determine how much value has been lost.

For example:

technological obsolescence

may produce limited degradation in one context and extreme degradation in another.

VDGCM therefore establishes:

what condition exists

while VDGMM subsequently determines:

how materially value has degraded.

This preserves:

Condition $\neq$ Magnitude.

Condition $\neq$ Progression

A degradation condition may exist without yet establishing its lifecycle trajectory.

VDGCM may determine:

Persistent Reliability Degradation

but does not independently determine whether the degradation is:

accelerating

decelerating

stable

or

progressively compounding through time.

That belongs principally to:

VDGPM — Value Degradation Progression Module.

Therefore:

Condition $\neq$ Progression.

Affected Value Dimension

Every degradation condition must remain linked to the value dimension it affects.

Possible dimensions include:

Economic Value

Operational Value

Functional Value

Technical Value

Strategic Value

Knowledge Value

Relational Value

Productive Value

Reliability Value

Utility Value

Physical Value

Network Value

or another governed value dimension.

A degradation condition affecting one dimension must not automatically be generalized across the entire value-bearing object.

Physical Degradation Condition

Physical degradation may include:

wear; corrosion; fatigue; structural deterioration; material deterioration; contamination; environmental damage; aging; component degradation; physical loss of capability.

Physical degradation may affect multiple downstream value dimensions.

However:

Physical Deterioration $\neq$ Automatic Total Value Degradation.

An object may physically deteriorate while retaining substantial economic, strategic, historical, reuse, or knowledge value.

Functional Degradation Condition

Functional degradation exists where the ability of a value-bearing object to perform an intended function weakens.

Examples include:

reduced output; reduced precision; reduced capacity; reduced availability; slower operation; increasing error rates; declining reliability; reduced interoperability; reduced service quality.

Functional degradation must remain connected to the relevant function and Value Context.

Operational Degradation Condition

Operational degradation concerns deterioration in the ability of an object, capability, process, or system to create or support operational value.

It may include:

increased downtime; declining throughput; reduced responsiveness; increased maintenance burden; reduced operational flexibility; declining efficiency; increasing operational friction; declining resilience.

Operational degradation may exist even where the underlying physical object remains substantially intact.

Economic Degradation Condition

Economic degradation may arise where the governed economic contribution of existing value weakens.

Examples include:

declining revenue contribution; declining productive economics; increasing cost burden; declining economic utility; reduced monetization capability; deteriorating economic efficiency; declining economic demand.

Economic degradation does not automatically establish degradation in every other value dimension.

Technological Degradation Condition

Technology may degrade in value even where its physical or computational functionality remains unchanged.

Relevant conditions may include:

obsolescence; declining compatibility; unsupported dependencies; reduced ecosystem relevance; architecture aging; increasing technical debt; declining maintainability; declining integration capability; declining security compatibility.

This distinction is particularly important for digital assets.

Functioning Technology $\neq$ Undegraded Technology Value.

Knowledge Degradation Condition

Knowledge value may degrade through:

loss of expertise; outdated documentation; declining accessibility; forgotten context; loss of institutional memory; outdated technical assumptions; inability to reproduce prior knowledge; loss of skilled personnel; fragmentation of knowledge.

The information may continue to exist while its usable value deteriorates.

Therefore:

Information Existence $\neq$ Knowledge Value Preservation.

Relational Degradation Condition

Value associated with relationships may degrade through:

declining trust; reduced interaction; declining cooperation; reduced network strength; declining partner relevance; weakened coordination; reduced accessibility; deteriorating reputation.

VDGCM governs the condition of the value relationship, not the complete governance of the relationship itself.

Strategic Degradation Condition

Strategic value may deteriorate when an existing asset, capability, position, technology, relationship, or knowledge base becomes progressively less useful to future organizational objectives.

Conditions may include:

declining strategic relevance;

reduced optionality; declining competitive differentiation; weakening strategic position; reduced adaptability; declining future utility.

Strategic degradation may occur before immediate operational or economic value materially declines.

This makes it potentially important as an early lifecycle signal.

Persistence Condition

VDGCM determines whether the identified degradation condition is:

Transient

Persistent

Recurring

Intermittent

or another context-relevant state.

Persistence does not establish magnitude.

It characterizes how the degradation condition exists through time.

Reversibility Condition

A degradation condition may be:

Reversible

Partially Reversible

Conditionally Reversible

Irreversible

or

Reversibility Indeterminate.

Reversibility is important because degradation does not automatically imply permanent value loss.

For example:

A degraded production capability may be restored through maintenance.

A degraded knowledge base may be restored through reconstruction.

A technologically obsolete system may regain value through modernization or repurposing.

Therefore:

Degradation $\neq$ Irreversibility.

Recoverability $\neq$ Reversibility

VDGCM distinguishes two related concepts.

Reversibility asks whether the degrading condition itself can be returned toward a prior condition.

Recoverability asks whether value can be regained, restored, recreated, replaced, transferred, or recovered through another mechanism.

A condition may be irreversible while value remains recoverable through replacement, transformation, reuse, or another value mechanism.

This distinction should remain explicit.

Compound Degradation Condition

Multiple degradation conditions may coexist.

For example:

Physical Wear

→ Reduced Reliability

→ Operational Downtime

→ Economic Deterioration

These conditions may form a compound degradation structure.

VDGCM may represent:

Condition A + Condition B + Condition C

without assuming that all conditions share identical magnitude, timing, or causation.

Interacting Degradation Conditions

Different degradation conditions may reinforce one another.

For example:

Knowledge Loss

may increase:

Maintenance Difficulty

which may accelerate:

Operational Degradation

which may increase:

Economic Degradation.

VDGCM should preserve these relationships where materially relevant.

However, interaction does not automatically establish causation.

Multidimensional Condition Principle

A single value-bearing object may occupy multiple degradation conditions simultaneously.

For example:

Physical Value: Stable

Operational Value: Degrading

Economic Value: Degrading

Knowledge Value: Stable

Strategic Value: Developing

This is a legitimate governed representation.

VDGCM must not force a complex value-bearing object into one universal degradation condition.

Condition Severity ≠ Magnitude

A condition may be classified descriptively as critical, severe, moderate, emerging, or another organizational state where appropriate.

However, such condition labels must not replace the formal magnitude determination governed by VDGMM.

VDGCM therefore prevents descriptive condition language from becoming an uncontrolled substitute for measured or governed value-loss magnitude.

Degradation Condition State

VDGCM may establish a minimum condition-state model:

1. Condition Unresolved

Degradation has been identified, but the governing degradation condition cannot yet be sufficiently characterized.

2. Condition Identified

A relevant degradation condition has been established.

3. Multiple Conditions Identified

Two or more materially distinct degradation conditions coexist.

4. Compound Condition Identified

Multiple conditions form a materially interacting degradation structure.

5. Condition Changed

The previously governed degradation condition has materially changed.

6. Condition Resolved

The degradation condition no longer persists, although previously lost value may or may not have been restored.

This final distinction is important:

Condition Resolution $\neq$ Value Restoration.

Condition Resolution Principle

A degradation condition can cease without value returning to its previous level.

For example:

A machine may suffer permanent capability loss.

After repair, further deterioration may stop.

The degradation condition may therefore become:

Resolved

while the resulting Value State remains lower than before degradation occurred.

Therefore:

End of Degradation $\neq$ Recovery of Lost Value.

Temporal Condition

VDGCM should preserve the temporal identity of a degradation condition.

Where relevant:

Condition Onset

→ Condition Identification

→ Condition Persistence

→ Condition Change

→ Condition Resolution

These points may occur at different times.

A condition may also exist before it is formally identified.

Evidence Basis

Degradation condition determination may use:

technical assessments; physical inspection; performance data; maintenance records; operational records; financial information; market information; system telemetry; user behavior; knowledge assessments; capability assessments; expert evaluation; validated observations; another context-appropriate evidence basis.

The evidence requirement should remain proportionate to the significance of the governed degradation condition.

VDGCM Boundary with VDGIM

VDGIM asks:

Has existing positive value entered Value Degradation?

VDGCM asks:

Under what condition is that identified degradation occurring?

Therefore:

Identification → Condition.

VDGCM should not reopen the identification question unless new information materially challenges the VDGIM determination.

VDGCM Boundary with VDGMM

VDGCM determines:

what degradation condition exists.

VDGMM determines:

how much degradation has occurred.

Therefore:

Condition $\neq$ Magnitude.

A degradation condition must not acquire an implied quantitative magnitude merely through its descriptive classification.

VDGCM Boundary with VDGPM

VDGCM may characterize whether a condition is persistent, intermittent, recurring, or otherwise temporally structured.

VDGPM governs the broader degradation trajectory and progression through time.

Therefore:

Condition Character $\neq$ Degradation Progression.

VDGCM Boundary with VCS

VCS governs material change to value.

VDGCM governs the condition characterizing an already identified Value Degradation pathway.

Therefore:

Negative Value Change $\rightarrow$ possible degradation

while:

Degradation Condition $\rightarrow$ governed characterization of identified degradation.

VDGCM Boundary with External Causation

External systems may determine why the degradation condition arose.

VFM® does not need to absorb:

engineering root-cause analysis; legal causation; regulatory causation;

market causation; human responsibility; scientific causal determination.

VDGCM may preserve a causal reference where relevant while remaining focused on:

the condition of value degradation itself.

Minimum Implementation Framework

A minimum VDGCM implementation should establish:

1. Identified Degradation Input

Receive a governed Value Degradation identification from VDGIM.

2. Value Dimension

Confirm the value dimension affected by degradation.

3. Degradation Context

Define the context within which the condition exists.

4. Condition Identification

Identify the material degradation condition.

5. Condition Characterization

Determine the characteristics necessary to understand the condition.

6. Persistence Assessment

Determine whether the condition is transient, persistent, recurring, intermittent, or otherwise temporally relevant.

7. Reversibility Assessment

Determine whether the condition is reversible, partially reversible, conditionally reversible, irreversible, or indeterminate.

8. Interaction Assessment

Identify materially interacting or compound degradation conditions.

9. Condition State Assignment

Assign the governed degradation condition state.

10. Condition Record

Document the condition, context, value dimension, characteristics, temporal status, reversibility, interactions, uncertainty, and supporting basis.

Governance Outputs

VDGCM may produce:

Value Degradation Condition Record Affected Value Dimension Record Degradation Context Statement Degradation Condition Classification Persistence Condition Record Reversibility Condition Record Recoverability Distinction Record Compound Degradation Condition Record Interacting Condition Record Temporal Condition Record Value Degradation Condition State Value Degradation Condition Basis

These outputs provide the governed input for:

VDGMM — Value Degradation Magnitude Module.

Use Case 1 — Industrial Infrastructure

Degradation

An industrial production system has already been identified by VDGIM as experiencing Value Degradation.

The organization now needs to understand what degradation condition actually exists.

VDGCM identifies several concurrent conditions:

Physical Condition: progressive component wear.

Reliability Condition: increasing failure frequency.

Operational Condition: increasing unplanned downtime.

Efficiency Condition: increasing energy required per unit of production.

These conditions are not treated as four independent declarations that the entire asset is losing all value.

Instead, VDGCM links each condition to its affected value dimension and identifies interactions between them.

The organization may determine:

Physical Degradation → Persistent · Partially Reversible

Reliability Degradation → Recurring · Reversible

Operational Degradation → Intermittent · Conditionally Reversible

while confirming that substantial productive value remains.

The next governance question becomes:

How much value has actually been lost under these conditions?

That question passes to VDGMM.

Use Case 2 — Digital Technology and Knowledge

Capability

An organization operates a legacy digital platform that remains functional and commercially useful.

VDGIM has identified degradation in several value dimensions.

VDGCM determines that the underlying conditions are:

Technological Condition: increasing obsolescence.

Interoperability Condition: declining compatibility with newer systems.

Knowledge Condition: declining internal expertise.

Maintenance Condition: increasing difficulty of modification and support.

At the same time:

Core Functional Capability remains stable.

The organization therefore does not classify the platform simply as:

“degraded.”

Instead, it establishes a multidimensional degradation condition:

Functional Value → Stable

Technological Value → Degrading

Interoperability Value → Degrading

Knowledge Accessibility Value → Degrading

Residual Operational Value → Positive

This allows subsequent magnitude and progression governance to determine how serious each degradation pathway actually is without prematurely treating the platform as obsolete, worthless, or a ZVA™ — Zero Value Asset™.

Enterprise Application

VDGCM enables organizations to move beyond the weak statement:

“This asset is losing value.”

and establish:

what degradation condition exists, where it exists, how it is characterized, whether it persists, whether it can be reversed, and how multiple degradation conditions interact.

The Module can support:

industrial asset governance; infrastructure lifecycle management; technology lifecycle governance; software lifecycle governance; knowledge governance; capability management; portfolio governance; strategic asset management; operational performance management; network governance; organizational capability assessment.

Its principal contribution is structural.

VDGIM establishes that degradation exists.

VDGCM establishes the condition in which degradation exists.

VDGMM can then determine its magnitude without confusing condition, cause, severity, progression, and value loss.

Foundational Principles

Identification of degradation is not characterization of degradation.

Degradation condition is not degradation cause.

Degradation condition is not degradation magnitude.

Degradation condition is not degradation progression.

A degradation condition must remain linked to the value dimension it affects.

One degraded condition does not establish degradation of every value dimension.

Multiple degradation conditions may coexist within one value-bearing object.

Degradation may be reversible without being insignificant.

Irreversible degradation does not automatically mean that all value is unrecoverable.

Condition resolution does not automatically restore previously lost value.

Physical deterioration does not automatically establish total value deterioration.

A functioning asset may still occupy a material degradation condition.

Canonical Closing Statement

Value Degradation Condition Module establishes the condition-governance layer of the Value Degradation Standard by determining under what governed condition identified positive value is deteriorating and by preserving the distinctions between degradation identification, condition, cause, magnitude, progression, reversibility, recoverability, and eventual nullification. Through governance of affected value dimensions, physical, functional, operational, economic, technological, knowledge, relational, strategic, persistent, recurring, reversible, irreversible, compound, interacting, and temporal degradation conditions, VDGCM transforms a generic observation of declining value into an explicitly characterized lifecycle condition. By establishing what condition governs the degradation before its magnitude and progression are determined, VDGCM provides the structured basis required for Value Degradation Magnitude governance while preventing deterioration in one dimension or condition from being incorrectly generalized into total value loss.

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Governed Links

→ Value Degradation Standard (VDGS)

→ VFM® Architecture Map

→ Previous: Value Degradation Identification Module (VDGIM)

→ Next: Value Degradation Magnitude Module (VDGMM)

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